MGT101 – FINANCIAL ACCOUNTING

MOST IMPORTANT 50 MCQS FOR MIDTERM PREPARATION

BY BRAINY SQUAD

1. A creditors' control account is used to record all the transactions related to:

A) Credit purchases

B) Cash purchases

C) Credit sales

D) Cash sales

- Correct Option: A) Credit purchases

2 ____is posted in the credit side account.

A) Trade discount

B) Credit purchases

C) Cash purchases

D) Receipts from debtors

Correct Option: D) Receipts from debtors

3. All of the follow may appear in the Trade receivable control account EXCEPT:

A) Credit purchase

B) Discount allowed debts

C) Bad debts

D) Cash received from debtors

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Correct Option: D) Cash received from debtors

4. In the case of writing off debtors as bad debt, is credited.

A) Doubtful debts account
B) Payable account
C) Debtors account
D) Provision account

Correct Option: A) Doubtful debts account

5. Which of the following might be a reason when a Bank Statement shows a greater A than the Cash Book balance"

A) Cheque issued but not yet presented
B) Cheque deposited but not yet credited
C) Unrecorded bank charges in cash book
D) None of the given options

Correct Option: A) Cheque issued but not yet presented

6. In the case of goods sold on a credit basis. is credited.

A) Payable account
B) Receivable account.
C) Bank account
D) Sales account

Correct Option: B) Receivable account

7. Which of the following is/are reconciling item(s) that cause disagreement(s) between the cash book and

A) Credit transfer
B) Debts transfer
C) Unpresented cheques
D) All the given options

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Correct Option: D) All the given options

8. In the case of a discount allowed to debtors, is debited.

A) Discount allowed account

B) Trade discount account

C) Receivable account

D) Doubtful debts account

Correct Option: A) Discount allowed account

9. If the cost of equipment is Rs. 108,000, useful life is 10 years, and its residual value 8,000, then Depreciation for the 3rd year using the straight-line method is… ?

A) Rs. 8.000

B) Rs. 10,000

C) Rs. 8.820

D) Rs. 9.800

Correct Option: B) Rs. 10,000

10. Which of the following should be debited in the bank statement?

A) Amount withdrawn from the bank

B) Dividend received on behalf of the customer

C) Amount deposited

D) Interest on deposit

Correct Option: A) Amount withdrawn from the bank

11. Which of the following is considered as a process of maintaining the journal?

Select the correct option

- Budgeting

- Costing
- Financial reporting
- Bookkeeping

12. The fees earned account will fall under which of the following classification of accounts?

Select the correct option

- Liabilities
- Revenues
- Assets
- Expenses

13. The process of picking up an amount from journal and placing into the debit or credit side of relevant ledger account in ledger is known as:

Select the correct option.

- Journalizing
- Posting
- Balancing
- Crediting

14. Which of the following is WRONG?

Select the correct option

- Nature of Expenses is Debit
- Nature of Assets is Debit
- Nature of Liabilities is Debit
- Nature of Owners Equity is Credit

15. All of the following are components of financial statements EXCEPT:

Select the correct option

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- Statement of Changes in equity
- Statement of Cash Flows
- Trial Balance
- Statement of Profit or Loss and Other Comprehensive income

16. After specific intervals, sum of sales return journal is posted to the debit side of

Select the correct option

- Total creditors account
- Sales return account
- Total debtors account
- None of the given options

17. Which of the following is also known as Balance sheet?

Select the correct option

- Statement of Profit or Loss
- Statement of Financial Position
- Statement of Cash Flows
- Statement of Changes in equity

18. If resources in business are supplied by the outsiders (other than the owner) only, then accounting equation looks like

Select the correct option

- Assets= Capital
- Assets= Liabilities.
- Assets= Liabilities + Capital
- Assets = Liabilities+ Capital

19. A ledger account with full details is prepared in which of the following two styles?

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Select the correct option

- Report style and indirect account style
- T.account style and indirect account style
- T.account style and running balance style
- Direct account style and indirect account style

20. Which of the following should be applied in business record keeping for dealing purchase of assets by the owner for his personal use out of his personal bank account?

Select the correct option

- Separate entity concept
- Historical cost
- Going concern
- Money measurement concept

21. Which of the following best describes the ‘Chart of accounts’?

a. List of cash inflows and outflows
b. List of accounting heads
c. List of ledger balances
d. List of all assets and liabilities

22. Which of the following is TRUE regarding a cash account?

e. It always shows a credit balance
f. It always shows a debit balance
g. None of the given options
h. It can show either debit or credit balance

23. In _____, the ledger accounts are balanced off on closing date of the accounting period.

i.Report style

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j.All of the given options

k. Running balance style

l.T account style

24. CCA & Co. made its monthly office rent payment on Cash. Which of the following accounts would be Affected from this transaction?

I) Assets III) Liabilities

II) Expenses IV) Revenues

a. I and IV

b. I and III

c. I and II

d. II and III

25. The normal balance of Income account is similar to:

A. Drawings Account

B. Liabilities Account

C. Expense Account

26. Financial position of an entity is referred as:

a. All of the given options

b. Financial performance during the period

c. Financial strength on a specific date

d. Cash flow during the period

27. Increase in liability can cause increase in:

A. Receivables

b. Goods

c. Profit

D. Equity

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28. In _____, ledger accounts produce Balances continuously throughout the accounting Period like after each Dr/Cr posting.

a. All of the given options
b. Running balance style
c. Report style
d. T account style

29. Which of the following is TRUE regarding a Contra account?

a. It is added into its original accounting head
b. It is always written in income statement
c. It is always written in balance sheet
d. It is deducted from its original accounting head

30. Increase in liability can cause increase in:

A. Cash
b. Profit
c. Receivables
E. Equity

31. Matching principle is applied in:

Options:

- Cash basis
- Both accrual and cash basis
- Accrual basis
- None of the given options

Correct Option: Accrual basis

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32. A payables ledger control account had a closing balance of Rs.9,000. A cash purchase of Rs. 500 had Been omitted to record in this control account. What should be the correct balance of payables control Account?

Options:

- Rs. 8,000 credit
- Rs. 9,000 credit
- Rs. 10,000 credit
- Rs. 8,500 credit

Correct Option: Rs. 8,500 credit

33. _____ is posted in the credit side of the debtor's account.

Options:

- Cash sales and credit sales
- Cash purchases and credit purchases
- Sales return and discount allowed
- Purchases return and discount allowed

Correct Option: Sales return and discount allowed

34. Income received in advance at the end of the period is treated as:

Options:

- Asset
- Liability
- Drawings
- Income

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Correct Option: Liability

35. A receivables ledger control account had a closing balance of Rs.9,000. Credit purchases of Rs. 500 Had been omitted to record in this control account. What should be the correct balance of receivables Control account?

Options:

- Rs. 8,500 debit
- Rs. 8,500 debit
- Rs. 9,500 debit
- Rs. 8,000 debit

Correct Option: Rs. 8,500 debit

36. Expense account is closed at the end of the accounting period in:

Options:

- General Journal
- Income statement
- Income account
- Balance sheet

Correct Option: Income statement

37. Expenses incurred but not yet paid till the end of the accounting period are treated in the balance Sheet as:

Options:

- Liability
- Asset
- Drawing
- Capital

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Correct Option: Liability

38. All of the following are depreciation methods for tangible fixed assets EXCEPT:

Options:

- Indirect method
- Sum of years digit method
- Reducing balance method
- Straight line method

Correct Option: Indirect method

39. In case of a discount allowed to debtors, _____ is debited.

Options:

- Discount allowed account
- Doubtful debts account
- Receivable account
- Trade discount account

Correct Option: Discount allowed account

40. Which of the following is considered as a liability for the bank?

Options:

- Credit balance as per cash book (bank column)
- Debit balance as per cash book (bank column)
- Debit balance as per bank statement
- Overdrawn balance as per bank statement

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Correct Option: Debit balance as per bank statement

41. Which of the following is considered as liability for the bank?

- Unfavorable balance as per cash book (bank column)
- Debit balance as per bank statement
- Overdrawn balance as per bank statement (CORRECT OPTION)
- Favorable balance as per cash book (bank column)

42. All of the following are depreciation methods for tangible fixed assets EXCEPT:

- Number of service hours method
- Fair value method (CORRECT OPTION)
- Number of units output method
- Sum of years digit method

43. If a fixed asset is purchased for Rs. 100,000 and payment is made through cheque; then which of the Following account will be credited?

- Bank account (CORRECT OPTION)
- Fixed asset account
- Debtor account
- Cash account

44. Income received in advance at the end of the period is treated as:

- Income
- Asset
- Liability (CORRECT OPTION)
- Drawing

45. _____ is posted in the debit side of debtors account.

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- Cash purchase
- Balance c/f of debtors
- Cash sales
- Balance b/f of debtors (CORRECT OPTION)

46. True and fair performance of any business entity is measurable under:

- Accrual basis
- Cash basis
- None of the given options
- Both accrual and cash basis (CORRECT OPTION)

47. In case of creating the provision for discount on debts, _____ is debited.

- Receivable account
- Discount received account
- Discount allowed account (CORRECT OPTION)

48. The favorable balance as per passbook is:

- Debit balance as per bank statement
- Credit balance as per bank statement (CORRECT OPTION)
- Unfavorable balance as per bank statement
- Credit balance as per cash book

49. Income earned but not received till the end of the accounting period is treated in balance sheet as:

- Capital
- Drawing
- Asset (CORRECT OPTION)
- Liability

50. Expired portion of direct cost is treated as:

Select the correct option

- Expense
- Cost
- Liability
- Income

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